

Each of your financial goals has a time frame that will influence your decision regarding the types of investments you choose. The shorter the time frame, the more conservative the investment should be. The longer the time frame, the more aggressive the investment can be. That's why the bulk of your 401(k) plan or other retirement funds should be in stocks or mutual funds when you're young and won't need the money for several decades. If you're saving for a down payment on a house that you hope to buy in three years, your money should be in much more conservative investments, such as CDs and other places to stash your short-term cash.

Risk Tolerance and Asset Allocation

Before you can begin investing intelligently, you need to assess your risk tolerance. This is your ability to watch your investments decline in value in the short term because you believe they'll increase in the long term. The higher the risk, the greater the potential reward, and vice versa. You may risk only the impact of inflation if you put your money in an interest-bearing savings account at an FDIC-insured bank, but there's no chance that you're going to make more than the prevailing interest rate. You risk everything if you put your money into junk bonds or highly speculative stocks, but there's a small chance that you could strike it rich. The key is to strive for a balance between risk and return.

What's Your Risk Level?

If you can tolerate fluctuations in market value by focusing on the long term, consider investing in aggressive assets, such as stocks. If you become nervous and uncomfortable when your investments suffer even a small decline in value, then conservative, low-risk choices are probably more your style.

